

Lopez, finding it fair and reasonable compensation for his time (approximately 65 hours), risk, and contribution to the litigation, consistent with *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785.

#### **VII. PAGA SETTLEMENT APPROVAL**

1. The Court grants final approval to the PAGA portion of the Settlement pursuant to Labor Code section 2699(l)(2), finding it fair, reasonable, and adequate in view of PAGA's purposes to remediate present labor law violations and deter future violations, consistent with *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56 and *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521.
2. The Court approves the allocation of \$75,000.00 in PAGA penalties, with \$56,250.00 (75%) payable to the LWDA and \$18,750.00 (25%) payable to the 225 Aggrieved Employees on a pro rata basis.

#### **VIII. DISTRIBUTION AND IMPLEMENTATION**

1. The Settlement Administrator is directed to distribute funds to Participating Class Members within 30 days of this Order, with checks valid for 180 days. For current employees whose checks are returned undeliverable, the Administrator shall arrange delivery through Defendants' payroll.
2. Any uncashed checks shall be handled in accordance with the Settlement Agreement. Unclaimed funds shall not revert to Defendants.

#### **IX. JUDGMENT AND RELEASE**

1. Judgment is entered in accordance with this Order. Upon entry of this Order, all Participating Class Members and Aggrieved Employees are bound by the releases set forth in the Settlement Agreement.
2. The Court retains jurisdiction over this action for purposes of enforcing the Settlement Agreement, supervising distribution, and resolving any disputes arising from the implementation of this Order.

#### **X. MISCELLANEOUS**

1. Class Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, attaching a copy of this ruling.
2. Plaintiffs' counsel is ordered to schedule a compliance hearing with the clerk of the court no later than one year from the date of entry of this order, and is ordered to submit a compliance statement preferably in the form of a declaration of distributions by the Administrator at least ten (10) court days before the compliance hearing date.
3. The Administrator is ordered to withhold 5% of the attorney's fees pending satisfactory compliance as found by the Court at or before the compliance hearing.

**12. 9:00 AM CASE NUMBER: C24-00106**  
**CASE NAME: YEKATERINA RAMIREZ VS. THE SPEECH PATHOLOGY GROUP, INC.**  
**\*HEARING ON MOTION IN RE: FINAL APPROVAL (SET BY THE COURTROOM)**

**FILED BY:**

**\*TENTATIVE RULING:\***

**Summary**

Plaintiff Yekaterina Ramirez, on behalf of herself and those similarly situated, ("Plaintiff") filed this Motion for Final Approval of the Class Action and PAGA Settlement Agreement with Defendant The Speech Pathology Group, Inc. ("Defendant."). The motion is **granted** as set forth herein.

**Background**

This wage and hour class action settlement resolves claims asserted by Plaintiff against Defendant. on behalf of approximately 1,501 current and former non-exempt California employees who worked during the Class Period from January 16, 2020, through July 27, 2025. Defendant has agreed to pay a Gross Settlement Amount of \$1,875,000.00 to resolve all class claims, including allegations of unpaid minimum and overtime wages, meal and rest period violations, wage statement violations, untimely final pay, and unfair business practices, as well as claims under the Private Attorneys General Act of 2004 ("PAGA") for the period from January 16, 2023, through July 27, 2025.

The settlement provides for a non-reversionary, no-claims-made distribution structure whereby Participating Class Members will receive *pro rata* shares of the Net Settlement Amount without submitting claim forms. The Settlement Administrator, Apex Class Action, LLC, mailed notice to 1,587 Class Members on July 9, 2026, with a Response Deadline of August 24, 2026. To date, no Class Members have requested exclusion, submitted objections, or disputed workweek calculations, and sixteen notices were deemed undeliverable after skip tracing efforts. The estimated average Individual Class Payment is \$724.67 per Participating Class Member, though actual amounts will vary based on workweeks during the Class Period.

The Gross Settlement Amount will be allocated as follows:

- (1) \$624,999.99 in attorneys' fees (one-third of the Gross Settlement Amount) to Class Counsel Lavi & Ebrahimian, LLP;
- (2) \$35,000.00 in litigation costs (though only \$27,090.73 was incurred);
- (3) \$9,000.00 Class Representative Service Payment to Plaintiff Yekaterina Ramirez;
- (4) \$15,950.00 in Administration Expenses;
- (5) \$40,000.00 in PAGA Penalties (with \$30,000.00 to the LWDA and \$10,000.00 to Aggrieved Employees); and
- (6) the remaining Net Settlement Amount to be distributed *pro rata* to Participating Class Members based on workweeks.

Individual Class Payments will be tax-allocated with 10% reported as wages on Form W-2 (subject to withholding) and 90% reported on Form 1099 (non-wage portion). Uncashed checks remaining after 180 days will be transmitted to the Cy Pres Recipient, Legal Aid Foundation of Los Angeles, leaving no unpaid residue. The settlement includes an escalator provision whereby the Gross Settlement Amount

increases proportionally if total workweeks exceed 79,200 (10% above the estimated 72,000), or Defendant may elect to end the Class Period early.

The settlement releases all wage and hour claims alleged in the Operative Complaint, including claims under Labor Code sections 201-203, 226, 226.7, 510, 512, 1194, and 1197, Business and Professions Code section 17200, and PAGA claims for civil penalties, while preserving rights to enforce the settlement agreement and claims for vested benefits, unemployment, disability, social security, or workers' compensation. Released Parties include Defendant and its related entities, parents, subsidiaries, affiliates, officers, directors, employees, and agents.

The settlement was reached after extensive arm's-length negotiations, including a full-day mediation with Steven J. Serratore, Esq., and informal discovery exchange involving review of Defendant's policies, time records, payroll data, and employee handbooks. Defendant denies all allegations and liability but agreed to settle to avoid the uncertainty, expense, and delay of continued litigation. Plaintiff faced significant risks regarding class certification, Defendant's compelling defenses regarding good faith compliance and lack of willfulness, and the substantial burden of proving damages at trial.

The settlement satisfies the requirements for final approval under Code of Civil Procedure section 382 and Rule 3.769 of the California Rules of Court. It is fair, adequate, and reasonable, providing substantial monetary recovery to the Class while avoiding the risks of non-recovery inherent in wage and hour litigation. The requested attorneys' fees of one-third of the common fund are appropriate under the common fund doctrine, consistent with California Supreme Court precedent in *City & County of San Francisco v. Sweet* (1995) 12 Cal.4th 105 and *Quinn v. State* (1975) 15 Cal.3d 162, and align with Ninth Circuit and California appellate authority approving percentage-based fee awards in class actions.

### **Analysis**

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.) ]

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically

noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutatory purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

The settlement contains release language covering all claims and causes of action, alleged or which could have reasonably been alleged based on the allegations in the operative pleading, including a number of specified claims. Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 (“A court cannot release claims that are outside the scope of the allegations of the complaint.”) “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (Id., quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.) ]

#### Attorney fees

Class Counsel seeks one-third of the total settlement amount as fees \$624,999.99 relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (Id., at 505.)

Litigation costs of up to \$35,000.00 (though only \$27,090.73 was incurred) are reasonable and are approved. Settlement administration costs of \$15,950.00 in are reasonable and are approved.

The requested representative payment of \$9,000 for plaintiff is reviewed now, under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

#### Conclusion

1. Final Approval: The Settlement Agreement is hereby approved as fair, adequate, and reasonable. The Court **grants** final approval to the class action settlement pursuant to Code of Civil Procedure section 382 and California Rules of Court, rule 3.769.
2. Class Certification: The Settlement Class defined herein is certified for settlement purposes only.
3. Designations: Plaintiff Yekaterina Ramirez is designated as Class Representative and Lavi & Ebrahimian, LLP as Class Counsel for settlement purposes.
4. Funding: Defendant shall fully fund the Gross Settlement Amount of \$1,875,000.00 and Defendant's share of payroll taxes by transmitting funds to the Settlement Administrator within sixty (60) days after the Effective Date.
5. Distribution: Within fourteen (14) days after funding, the Settlement Administrator shall distribute: (a) Individual Class Payments to Participating Class Members; (b) Individual PAGA Payments to Aggrieved Employees; (c) the LWDA PAGA Payment of \$30,000.00 to the California Labor and Workforce Development Agency; (d) the Class Counsel Fees Payment of \$624,999.99, except that 5% shall be withheld pending a compliance hearing; (e) the Class Counsel Litigation Expenses Payment of \$35,000.00; (f) the Class Representative Service

Payment of \$9,000.00; and (g) the Administration Expenses Payment of \$15,950.00. Disbursement to Class Counsel and the Class Representative shall not precede disbursement to Class Members.

6. Attorneys' Fees and Costs: Class Counsel is awarded attorneys' fees in the amount of \$624,999.99 and litigation costs in the amount of \$35,000.00, to be paid from the Gross Settlement Amount, except that 5% of the fees shall be withheld pending the compliance hearing.
7. Service Payment: Plaintiff Yekaterina Ramirez is awarded a Class Representative Service Payment of \$9,000.00, in addition to any Individual Class Payment and Individual PAGA Payment she receives as a Participating Class Member.
8. Administration Expenses: Apex Class Action, LLC is awarded \$15,950.00 for settlement administration services.
9. PAGA Allocation: The Court approves the PAGA Penalty allocation of \$40,000.00, with \$30,000.00 (75%) to the LWDA and \$10,000.00 (25%) to Aggrieved Employees as Individual PAGA Payments.
10. Tax Treatment: Individual Class Payments shall be allocated 10% to wages (W-2) and 90% to non-wage amounts (Form 1099).
11. *Cy Pres*: Uncashed checks remaining after 180 days shall be voided and remitted to Legal Aid Foundation of Los Angeles as *Cy Pres* Recipient pursuant to Code of Civil Procedure section 384, subdivision (b).
12. Release: The releases set forth in the Settlement Agreement are approved and shall be binding upon Participating Class Members and Aggrieved Employees upon the Effective Date.
13. Escalator: The escalator clause has not been triggered. If triggered, the Gross Settlement Amount shall increase proportionally or the Class Period shall end as provided in the Settlement Agreement.
14. No Admission: The settlement and this Order constitute neither an admission by Defendant of any fault, wrongdoing, or liability, nor a finding by the Court of the validity of any allegations.
15. PAGA Submission: Class Counsel shall submit this Order to the Labor and Workforce Development Agency within the time required by Labor Code section 2699.
16. Retention of Jurisdiction: This Court retains jurisdiction over the Parties and the subject matter of this action for purposes of enforcing the settlement and resolving any disputes arising thereunder.
17. Judgment: Final Judgment is entered in favor of Defendant and against Plaintiff and the Class with respect to all claims released by the Settlement Agreement.
18. Further Handling. Class Counsel are directed to prepare an order reflecting this tentative ruling and the other findings in the previously submitted proposed order, attaching a copy of this ruling.
19. Class counsel is ordered to schedule a compliance hearing with the clerk of the court no later than one year from the date of entry of this order, and is ordered to submit a compliance statement in the form of a declaration of distributions by the Administrator at least ten (10) court days before the compliance hearing date.
20. The Administrator is ordered to withhold 5% of the attorney's fees pending satisfactory compliance as found by the Court at or before the compliance hearing.